

PAUL W. DAI

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Education

2024 -	Ph.D. Student in Finance, MIT Sloan School of Management
2021 - 2022	M.A. in Economics, University of Chicago
2017 - 2021	B.A. in Economics and Literature, Peking University
2020 Spring	Visiting Undergraduate Student, University of Pennsylvania

Research Areas

International, Macro-Finance, Development

Working Papers

1. [“Unbalanced Financial Deepening”](#) (with [Karsten Müller](#) and [Emil Verner](#))

Abstract: Economic development is associated with a rise in the ratio of firm credit to GDP. Novel cross-country data on the sectoral distribution of credit reveal that underlying this aggregate trend is a significant reallocation of credit from manufacturing towards the real estate sector. This reallocation substantially outpaces structural change in the real economy, suggesting a role for changing financing constraints. We provide evidence on various drivers of the asymmetric increase in firm credit to the real estate sector: a collateral channel driven by rising real estate prices, increasing reliance on intangible assets outside of real estate, and the removal of government-directed credit policies. We then document that higher manufacturing credit predicts higher long-run growth, but the opposite is true for real estate credit. These results have two implications. First, understanding the linkages between finance and economic growth depends not only on the level but also on the composition of credit. Second, financial deepening in credit markets may play a more important role in spurring growth at lower levels of development.

2. [“Foreign Exchange Hedging and Currency Invoicing: Part I Theory”](#) (with [Ziwen Sun](#))

Abstract: We study how firms jointly determine currency invoicing and foreign exchange (FX) hedging by incorporating forward contract transactions into a canonical currency-choice framework. We show that (i) in the presence of imperfect hedges and (ii) hedging and pricing decisions are interconnected, FX hedging costs *almost always* affect currency invoicing. This interaction operates through two distinct channels: First, firms manage exchange-rate risk through two margins—currency invoicing and FX hedging—and hedging costs shape the relative use of these two tools. Second, hedging costs affect firms’ hedging positions, which in turn alter exchange-rate pass-through into prices and thereby affect optimal currency choice. Specifically, lower hedging costs in dollars facilitate more effective risk management for firms’ dollar exposure, incentivizing them to invoice in dollars—an effect especially pronounced for firms with long dollar positions. Altogether, our results elucidate how dollar dominance in FX transactions reinforces its dominance in trade invoicing, highlighting a fundamental policy tension between the internationalization of domestic currencies and the deepening of FX hedging markets.

Presentation (* presented by coauthor)

2026	2nd Annual New England Economics PhD Conference (Brown U), Fudan U*, MIT List Visual Art Center, MIT Sloan Finance Lunch, Peking U (Guanghua School of Management*, National School of Development*), Shanghai University of Finance and Economics*
2025	AFA: Finance, Development, and Growth*; Central Bank of Chile: II Workshop on Financial Markets, Shocks and Macro Policy; Minneapolis Fed*; MIT Econ Macro Lunch; MIT Sloan Finance Lunch; NBER International Finance and Macroeconomics Spring Program Meeting*; NY Fed*; SED 2025: Investment Dynamics and Development; Sveriges Riksbank*; USC*
2024	NBER Investment in Early Career Scientist*

Research Positions

2025 Summer, 2026 Spring	Research Assistant for Emil Verner, MIT
2022 - 2024	Predoc Research Assistant for Daniel Greenwald and Emil Verner, MIT
2021 - 2022	Part-Time Research Assistant for Rodrigo Adão, University of Chicago
2020 - 2021	Part-Time Research Assistant for Ying Feng, National University of Singapore
2018 - 2020	Part-Time Research Assistant for Yong Wang and Jiajun Xu, Peking University

Awards, Fellowships, and Grants

2024 -	Thomas Anthony Pappas Endowed Fellowship, MIT Sloan
2024	Conference Grant, MIT Graduate Student Council
2022	Quadrangle Scholar Research Award Scholarship (2/3 Tuition Waiver), University of Chicago
2021	Outstanding Undergraduate Research, Peking University
2021	Chancellor's Undergraduate Research Funds in Economics, Peking University
2018	Award for Scientific Research, Peking University

Technical Skill

Programming	Python, STATA, Matlab, R, LaTeX
Language	Mandarin (Native), English (Fluent)